

Repayment and Forgiveness Programs

Bankruptcy does not discharge student loans, but there are little known programs that exist that can indeed eliminate your student loans. The federal government itself is one way. The Office of Personnel Management (OPM) authorized government agencies to set up student loan repayment programs to recruit highly qualified candidates for government service. It is not a bad deal at all. The employee only has to agree to work for the feds for at least 3 years and the federally backed student loans can be repaid up to \$10,000 per year for a maximum of \$60,000. It is not considered forgiveness of the loan, but actual repayment. That is a nice deal. For more info on the student loan repayment program, see <http://www.opm.gov/oca/pay/StudentLoan/>.

There are also several loan forgiveness programs that most people don't know about. You can have your student loan debt forgiven (which means they cancel it out, adios, bye-bye, it's gone) by doing volunteer work, teaching, serving in the military, or pursuing legal or medical studies. See <http://www.finaid.org/loans/forgiveness.phtml> and let me give you some highlights:

Volunteering:

AmeriCorps. You must serve at least 12 months to receive \$4725 for your student loan repayment. (800-942-2677)

Peace Corps. You serve for at least two years and can defer your student loans. (800-424-8580)

Volunteers in Service to America (VISTA). You must serve 1700 hours. You receive \$4725. (800-942-2677)

Teaching:

Those willing to teach in low-income areas will receive partial loan forgiveness each year for up to five years. Some states also have programs that offer loan forgiveness or repayment for teachers willing to teach in a shortage area. A list of programs is available at the American Federation of Teachers at <http://www.aft.org/teachers/jft/loanforgiveness.htm>.